

hence will be the opposite of what it is today, and investors who have maintained or increased their purchasing power will be positioned to profit immensely. If you have patiently avoided investing in the stock, bond and property markets until the bargain table is filled with issues and parcels down 80% to 99% from their bull market peaks (stocks and bonds down 100% will not be for sale), you will then be positioned to scoop up the bargains and make a fortune.

CASSANDRA REPLIES

Some people have reacted to the long term opinion compelled by the Wave Principle with the response that it is alarmist and that such a clearly stated forecast for a historic market decline and an economic depression is dangerous. This is an emotional, not an intellectual, response to which I reply, "nonsense." If the market goes up while you are holding interest-bearing cash equivalents in safe currencies, you might make a little less money. So what? On the other hand, forecasting a *boom*, as we did in the late 1970s and early 1980s, carries with it a great responsibility, an understanding of how much damage you can do if you are wrong. The most dangerous statements are made by the *permanent optimists*, the ones who said that silver was going to \$100 an ounce (as it dropped over 90%), the ones who said that investing in junk bonds was a good idea (before they crashed), the ones who said that secondary stocks would be the leaders in the 1980s-1990s bull market (while they have suffered their longest period of underperformance in sixty years), the ones who said that real estate was a guaranteed safe long term speculation (before liquidity disappeared and investors became locked in), the nine out of ten economists who said in June 1990 that there was no economic contraction on the horizon (just before the worst contraction in at least eight years), the ones who today say, "the stock market always goes up long term," "secondary stocks will explode on the upside any day," "junk bonds are a bargain," "real estate is a guaranteed safe long term investment," "gold coins will always rise in price," and "there will be no recession," so "*don't* get liquid, *don't* sell your business, *don't* stop building office space, *don't* move money out of the U.S. banking system." These are the truly hazardous forecasts, the ones that, if they are wrong, can *ruin your life*.

In truth, then, it is those who have been counseling a fully invested position in stocks, bonds and real estate over the past four